



Letter to Shareholders

Q3 Fiscal 2026

QUARTER ENDED MARCH 31, 2026 | REPORTED APRIL 29, 2026



Dear KLA Shareholders,

This letter covers KLA's business and financial results for the March 2026 quarter, our outlook for the June 2026 quarter, and some highlights from our recent [March 12, 2026, Investor Day](#), including the 2030 financial targets.

March 2026 Quarter Results

KLA delivered strong results across the board for the March quarter. Revenue was \$3.415 billion, with non-GAAP diluted EPS at \$9.40 and GAAP diluted EPS of \$9.12.

KLA's leadership in process control continues to gain momentum. We are coming off an Investor Day where we detailed how KLA's portfolio approach to solving customer process challenges and enhancing yield learning cycles within process control is unique and requires not only a significant and compounding R&D investment, but also precise execution across the supply chain, manufacturing operations, and service. KLA's strength lies in leveraging capabilities across our comprehensive portfolio, rather than relying on a single product to solve our customers' biggest challenges. Our customers always optimize for capability, cost, and efficiency, aiming for the best total cost of ownership for inspection and measurement. KLA helps drive down the total cost of ownership by allowing customers to more effectively optimize through a portfolio of systems and technologies that are designed to work together to accelerate learning cycles and improve yield. This drives our customers' success as well as our own.

What is clear in our quarterly results is that many of the same trends driving our revenue growth are improving, and our expectations for equipment industry growth for calendar 2026 and 2027 are building. KLA remains uniquely positioned on the critical path of AI infrastructure expansion. Process control relevance is increasing as the volume of design starts at the leading edge continues to expand at a rapid pace. This isn't limited to just the foundry/logic market, as the memory market has significantly increased its adoption of process control due to the rise of high-bandwidth memory (HBM) in DRAM. The importance of KLA's products and services in memory has increased because of HBM, as requirements have increased for performance and reliability. In addition, die sizes are larger, redundancy is lower and the complexity of the device is substantially higher, including the need for advanced logic integrated into the base die to control the HBM stack.

It is important to distinguish that design activity and rising memory complexity are not the only catalysts driving benefits for KLA and process control. Faster product cycles, higher-value wafers and masks, rising design complexity and variability, and the growing demand and complexity of advanced packaging all require significantly more process-control solutions. These solutions shorten time-to-results by addressing process integration challenges in the R&D and early fab ramp phase, while continuing to manage yield with strong design mix in high-volume manufacturing. The rapid expansion of high-value, leading-edge manufacturing and advanced packaging is creating new challenges for customers as they balance yield optimization, process variability, capital efficiency, and delivery schedules in high-volume manufacturing. KLA is well-positioned to address these opportunities.

Finally, as KLA systems become more technologically advanced and have longer service lives in fabs, our Service business continues to gain strategic importance, driven by rising customer expectations for tool performance and availability across all customer segments, creating a strong, predictable long-term tailwind for overall KLA revenue growth.

Calendar 2030 Long-Term Financial Targets

At our March 12, 2026, Investor Day ([click here for links to Investor Day materials](#)), KLA introduced new long-term revenue growth targets along with a calendar 2030 financial model, and increased our capital allocation target to over 90% of free cash flow. We also announced the 17th consecutive increase in our quarterly dividend level (+21% to \$2.30/share) and a \$7 billion share repurchase authorization to supplement the \$3.3 billion remaining under the previous authorization. KLA's revised higher 13-17% revenue CAGR objective through calendar 2030 reflects strong growth across our key business segments and includes an increased long-term Services revenue growth CAGR model of 13-15%. Our long-term model assumes a baseline semiconductor industry growth CAGR of ~11% from calendar 2025 to calendar 2030, with the Wafer Equipment market growing ~1 percentage point faster than the semiconductor industry to \$215 billion, plus or minus \$20 billion, by calendar 2030. Given the growing relevance of process control across all customer segments, we expect KLA to continue to outperform the equipment market on the top line, drive operating leverage, and continue to deliver our best-in-class financial model.

KLA 2030 Target Model

Originally Established	June 16, 2022	March 12, 2026	Ongoing Financial Framework
	2026 Target Model	2030 Target Model	
Revenue	\$14B +/- \$500M	\$26B +/- \$2.5B	~13% - 17% CAGR
Gross Margin% ¹	~63%	~63.5% +/- 50 bps	
R&D% ¹	~13%	~11%	
SG&A% ¹	~8%	~7%	
Operating Margin% ¹	41-43%	45% - 47%	40% - 50% (Incremental)
Diluted EPS ¹	\$38 +/- \$1.50	\$84 +/- \$8	~1.3x Revenue Growth Rate
Capital Allocation	Target > 85% of FCF	Target > 90% of FCF	Hybrid Approach: Dividend + Repurchases

¹Non-GAAP measure

Macro Assumptions

- CY25-CY30E semiconductor industry CAGR of ~11%
- Wafer Equipment grows ~1 pt. faster than Semi to \$215B +/- \$20B
- ~60% foundry / logic, ~40% memory
- Process Control market grows > WFE

Business Assumptions

- Intensity / market share gain at leading edge of core WFE
- Advanced Packaging augments growth
- KLA share of Wafer Equipment grows > 150 bps
- Services grows 13-15%
- EPC grows mid-high single digits
- Planning tax rate at 14.5%

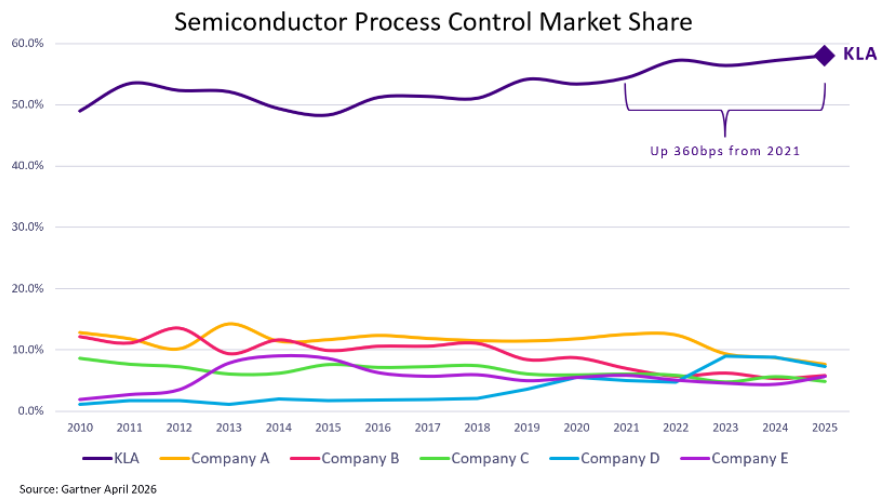
Focused on Driving Consistent, Profitable Growth and Delivering Shareholder Value

CY25 Market Share Update: Another Year of Share Growth for KLA

Recently published industry research reports showed KLA increased its global share of both overall Wafer Equipment and the Process Control market in calendar 2025. This growing market leadership was highlighted by significant gains in Advanced Wafer Level Packaging, where KLA assumed the #1 position in this market, increased market share by 14 percentage points and achieved approximately 70% year-over-year revenue growth. Market share also improved across mask inspection, optical patterned wafer inspection, and electron beam inspection. Since 2021, KLA's share of Process Control has grown by 360 basis points and is approximately 7x greater than the nearest competitor.

KLA Further Extends Process Control Market Leadership

#1 Market Position is Driven by Technology Differentiation and Execution Strength



58%

2025 Process Control Share

- Process Control share rose 360bps from 2021
- Gains in Optical Inspection, E-beam, Advanced Wafer Level Packaging, and Mask Inspection
- Achieved #1 share position in Advanced Wafer Level Packaging Process Control

Top 5 Highlights March 2026 Quarter

First, KLA delivered record quarterly revenue of \$3.415 billion, up 4% sequentially and 11% year-over-year. This growth was driven by sustained strength in investment for both leading-edge foundry/logic and high bandwidth memory (HBM). In foundry/logic, the continued pace of scaling, supported by a growing pipeline of design starts, increasingly driven by the hyperscalers shaping the leading-edge roadmap, and broader adoption of larger die sizes in advanced architectures remain as long-term secular drivers that uniquely benefit process control. In memory, higher performance specs, reduced redundancy, and increasing logic content in devices designed for high-performance computing (HPC) applications are spurring structurally higher process control intensity across the customer base.

Second, the strength in our business can be directly correlated to AI. AI is both a core driver of KLA's performance and an enabler of our expanding industry leadership. KLA's industry-leading systems apply AI-driven analytics, noise suppression and simulation capabilities to deliver actionable insights that streamline chip manufacturing and accelerate innovation and time-to-yield for next-generation semiconductor AI applications. Over the past five years, we have enabled our entire product portfolio with increasing AI capabilities. KLA's innovative architecture enhances computational throughput, reduces latency, delivers superior cost efficiency and time-to-results. Continued R&D investments are designed to create new KLA innovations with AI that produce actionable data for our customers, accelerating system performance, reducing the cost of ownership, and improving our customers' return on investment.

Third, KLA achieved the #1 position in process control for Advanced Wafer Level Packaging in calendar 2025, driven by strong customer adoption of the KLA packaging portfolio, which is unmatched in breadth and depth in the marketplace. The rising demand for more powerful systems of chips is increasing the importance of process control in the chip package and fueling significant growth in this expanding market. Rapid customer adoption of KLA's advanced packaging portfolio validates the strength of our current product capabilities and our long-term technology roadmap which leverages common R&D across process control products and brings highly capable existing wafer front-end solutions into this increasingly relevant market. Advanced Packaging market growth in calendar 2026 is further accelerating. KLA's process control systems revenue continues to gain momentum in this

market through a combination of market share gains and growth in process control intensity. We now expect Semiconductor Process Control product portfolio revenue will grow from approximately \$635 million in 2025 to approximately \$1 billion in calendar 2026, well above our prior estimate of greater than 30% growth from earlier in the year.

Fourth, the KLA Services business was \$775 million in the March quarter, up 16% year-over-year and above our new targeted long-term Services growth rate of 13% to 15%. March quarter Services revenue was down slightly sequentially at 1% due to the timing of certain billable revenue recognition. 2026 is expected to be the 17th consecutive year of annual service revenue growth. Consistent long-term growth in Service is a key aspect of KLA's business model and delivers predictable cash flow to anchor our capital returns strategy.

Finally, quarterly free cash flow was \$622 million. Over the past 12 months, free cash flow was \$4 billion, producing a free cash flow margin of 31%. Over the past five calendar years, KLA's free cash flow has grown at a compounded annual growth rate of 20%. Total capital return in the March quarter was \$875 million, comprised of \$626 million in share repurchases and \$249 million in dividends. Total capital return over the past twelve months was \$3.2 billion.

KLA's sustainable outperformance reinforces the strength of our leadership in process control. It also underscores the critical role KLA's suite of products and services play in enabling AI-fueled growth in the semiconductor industry. Our consistent execution reflects the resilience of the KLA Operating Model, the talent of our global team, and our disciplined approach to capital allocation focused on long-term investment and maximizing total shareholder value.

March 2026 Quarter Financial Highlights

KLA's March quarter results reflect strong year-over-year growth with an industry-leading margin profile, highlighting our market leadership, consistent execution, and the dedication of our global teams in meeting customer commitments.

Revenue was \$3.415 billion, above the guidance midpoint of \$3.35 billion. Non-GAAP diluted EPS was \$9.40, and GAAP diluted EPS was \$9.12, each above the midpoint of the respective guidance ranges.

Non-GAAP gross margin was 62.2%, 45 basis points above the midpoint of guidance, driven by better than modeled services business mix and manufacturing scale due to higher business volume. Non-GAAP operating expenses were \$670 million and included \$389 million in R&D and \$281 million in SG&A. Operating expenses were higher than expected principally due to prototype materials timing and other reserve adjustments. Non-GAAP operating margin was 42.6%. Non-GAAP other income/expense, net, was \$9 million in income. The variance relative to guidance was due to a significant mark-to-market gain of a strategic supply investment. The quarterly non-GAAP effective tax rate was 15.4%. At the guided tax rate of 14.5%, Non-GAAP earnings per share would have been \$0.10 higher or \$9.50.

\$3.415B

Revenue

62.2%

Gross Margin*

42.6%

Operating Margin*

\$1.2B

Net Income*

KLA's high-performance Teron™ SL670e XP reticle inspection systems are used during chip manufacturing to identify yield-critical defects on EUV reticles in 5nm/3nm logic and advanced DRAM chip production



\$9.40

Non-GAAP Diluted EPS*

\$9.12

GAAP Diluted EPS

* Non-GAAP metric – please refer to the appendix for reconciliation to GAAP

Non-GAAP net income was \$1.24 billion, GAAP net income was \$1.2 billion, cash flow from operations was \$707 million, and free cash flow was \$622 million. The company had 131.8 million diluted weighted average shares outstanding for the quarter.

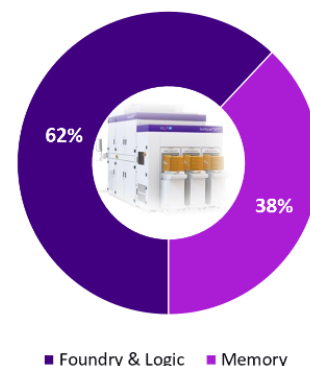
Breakdown of Revenue by Reportable Segments and End Markets

Revenue for the Semiconductor Process Control segment, including its associated Services business, was \$3.1 billion, up 3% sequentially, and 13% on a year-over-year basis.

The Semi Process Control systems-only mix for our foundry/logic and memory semiconductor customers was approximately 62% for foundry/logic and 38% for memory, with DRAM accounting for 86% of memory revenue, and NAND 14%.

	Revenue Q3-FY26 (\$M)	Y/Y Growth %	Q/Q Growth %	Revenue %
Semiconductor Process Control (Systems + Services)	\$3,084	+13%	+3%	90%
Specialty Semiconductor Process (Systems + Services)	\$164	+5%	+17%	5%
PCB and Component Inspection (Systems + Services)	\$167	-1%	+10%	5%
Total	\$3,415	+11%	+4%	

Q3-FY26: Semi Process Control End Market System Revenue ¹



¹ Represents approximate Semi Process Control system-only sales to Foundry/Logic customers or Memory customers only, which does not represent our aggregate customer base

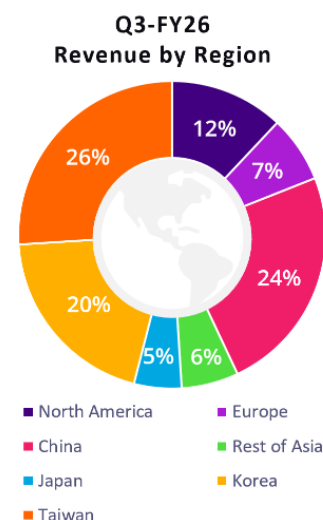
Revenue for the Specialty Semiconductor Process business, which includes its associated Services business, was \$164 million, up 17% sequentially and 5% on a year-over-year basis.

PCB and Component Inspection revenue, including its related Services business, was \$167 million, up 10% sequentially and down 1% year-over-year.

Breakdown of Revenue by Major Products and Regions

	Revenue Q3-FY26 (\$M)	Y/Y Growth %	Q/Q Growth %	Revenue %
Wafer Inspection	\$1,740	+16%	+11%	51%
Patterning	\$615	-3%	-12%	18%
Specialty Semi Process	\$144	+4%	+19%	4%
PCB and Component Inspection	\$95	-9%	+18%	3%
Services	\$775	+16%	-1%	23%
Other ¹	\$46	+142%	+15%	1%
Total	\$3,415	+11%	+4%	

¹ Included in the Semiconductor Process Control Segment



Wafer Inspection systems increased 11% sequentially, and 16% year-over-year in the March quarter, totaling 51% of revenue.

Patterning systems, which include metrology and reticle inspection, declined 12% sequentially and 3% year-over-year, accounting for 18% of revenue in the March quarter.

Specialty Semiconductor Process systems revenue increased 19% sequentially and 4% year-over-year, representing 4% of revenue. The Specialty Semiconductor Process business broadens KLA's exposure to growth opportunities beyond our process control business and primarily focused on process tools for advanced packaging and specialty device manufacturing.

PCB and Component Inspection systems revenue was up 18% sequentially and down 9% year-over-year, ending at 3% of revenue. The primary driver of sequential growth in this business is the increasing value of more complex processing and more rigorous testing requirements in the final inspection of HPC chip packages.

Services revenue grew 16% year-over-year and was down 1% sequentially to \$775 million, representing 23% of KLA's revenue.

Other, which is included in the Semiconductor Process Control segment, was 1% of revenue.

In descending order, the quarterly regional revenue split was Taiwan at 26%, China at 24%, Korea at 20%, North America at 12%, Europe at 7%, Rest of Asia at 6%, and Japan at 5% of total revenue.

Strong Investment Grade Balance Sheet

KLA ended the quarter with \$5 billion in total cash, cash equivalents, and marketable securities, and debt of \$5.95 billion. The company has a flexible and attractive bond maturity profile, supported by investment-grade ratings from all three major rating agencies. KLA's balance sheet enables us to fund our growth strategies, both organic and inorganic, and offer attractive capital returns to shareholders.

Balance Sheet Summary¹ (\$M)

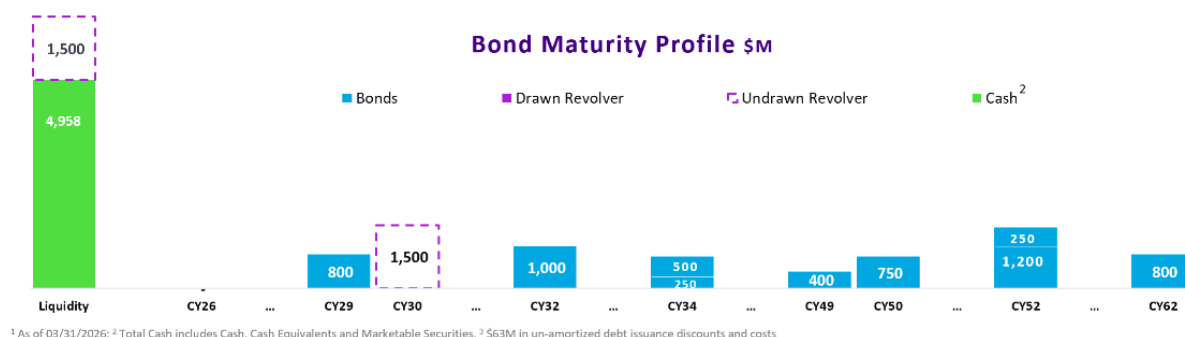
Total Cash ²	\$ 4,958
Working Capital	\$ 7,599
Total Assets	\$ 16,874
Debt ³	\$ 5,887
Total Shareholders' Equity	\$ 5,830

Bond Maturity Profile

Bonds Outstanding	\$5.95B
Weighted Average Interest Rate	4.67%
Weighted Average Maturity	18.3 years

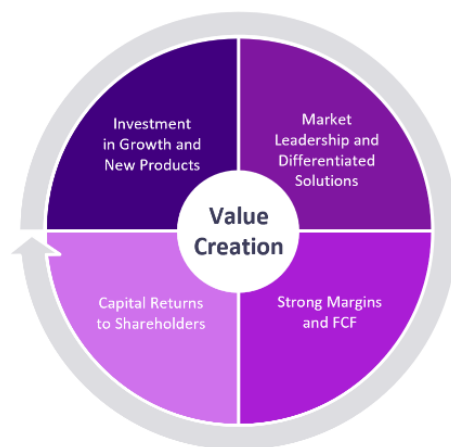
Investment Grade Credit Ratings

Moody's	A2
S&P	A-
Fitch	A

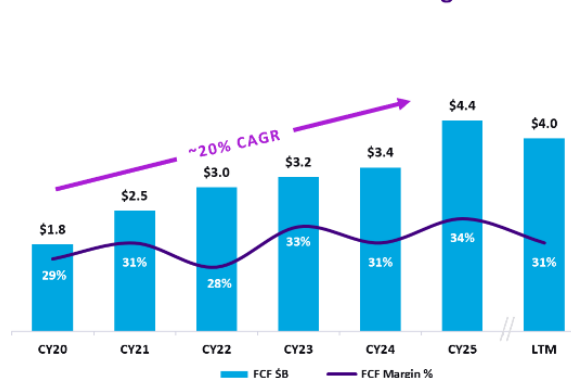


FCF Generation Fuels Consistent Capital Return to Shareholders

KLA generates consistent, strong free cash flow, driven by our high-performing operating model. Over the past five calendar years, free cash flow has grown at an approximate 20% CAGR, above the revenue CAGR of 16% over the same timeframe. This growth, coupled with resilience across business cycles, enables a comprehensive capital return strategy featuring double-digit dividend growth and share repurchases to support long-term shareholder value creation. This strategy prioritizes predictable, assertive capital deployment and remains an important differentiator of the KLA investment thesis.



Free Cash Flow¹ and FCF Margin²

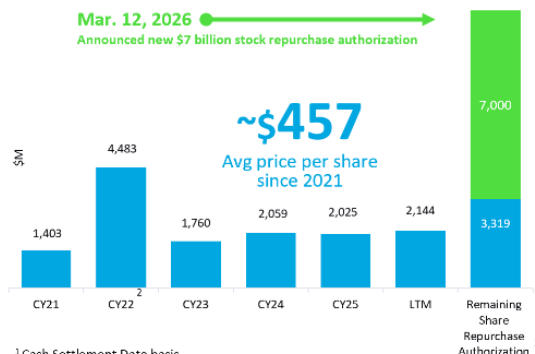


¹ Free Cash Flow (FCF) = Cash Flow from Operating Activities minus Capital Expenditures
² FCF Margin defined as FCF/Revenue; Non GAAP metric - Please refer to Appendix for reconciliation to GAAP

Committed to long-term >90% FCF returned to shareholders through dividends and share repurchases

Consistent Returns Across Both Share Repurchases and Dividends

Share Repurchases - Last 5 Years¹



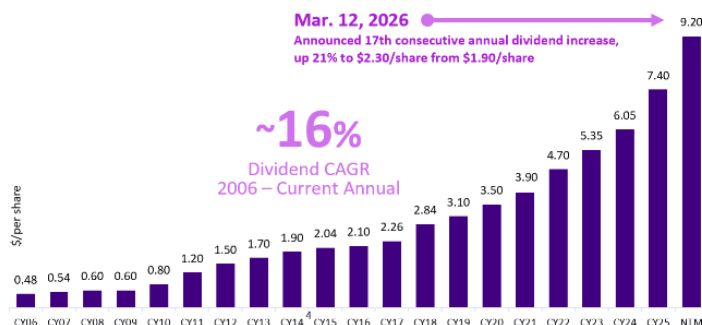
¹ Cash Settlement Date basis.

² Includes \$3B Accelerated Share Repurchases (ASR).

³ Remaining Share Repurchase Authorization includes \$7.0B new authorization and \$3.3B remaining previous authorization as of 3/31/2026.

⁴ Excludes \$16.50 per share special dividend in Dec. 2014.

Track Record of Dividend Increases



Free Cash Flow and Capital Return Highlights

KLA has a history of consistent free cash flow generation, high free cash flow margins, and strong free cash flow conversion that is resilient across business cycles and economic conditions. KLA has grown the quarterly dividend level in line with an approximately mid-teens compound annual growth rate target since its inception. The company has also consistently repurchased shares. These capital return actions reflect focus on assertive capital allocation, confidence in our growth strategies, and the strength of KLA's long-term business model.

\$622M

March Quarter
Free Cash Flow*

18%

March Quarter
FCF Margin*

50%

March Quarter
FCF Conversion*



(Above) Utilizing enhanced 150nm Broadband Spectroscopic Ellipsometry technology, the Aleris 8510 film thickness measurement system provides engineers with the film metrology data required for development and inline monitoring of DPN layers and all HKMG layers – from gate through poly, including Hf and N dose and film thickness

\$626M

March Quarter
Share Buyback

\$2.14B

LTM Share Buyback

\$249M

March Quarter
Dividends Paid

\$1.0B

LTM Dividends Paid

* Free Cash Flow (FCF) = Cash flow from Operating Activities minus Capital Expenditures; FCF Margin = FCF/Revenue; FCF Conversion = FCF / Non-GAAP Net Income. Non-GAAP metric. Refer to Appendix for Reconciliation to GAAP. Capital Returns = Dividends + Share Repurchases.

Semiconductor Industry Demand Environment

Over the past ten years, the semiconductor industry has experienced substantial growth and diversification. Semiconductors are a significant enabler of the global economy, and as semiconductor end markets continue to broaden, we see ongoing innovations in semiconductor designs and manufacturing processes. Industry growth is driven by expanding high performance compute (HPC) investment, fueled by the rapid adoption of AI. Together with the growing use of semiconductor technologies and increasingly diversified end-market demand, these trends are supporting stronger and more diversified long-term industry growth.

AI is driving a major technology inflection, accelerating innovation and increasing demand for leading-edge solutions across logic, memory, and advanced packaging. KLA's comprehensive product portfolio is uniquely positioned to support this growth, enabling the compute roadmap and powering the buildout and modernization of the world's data centers.

Calendar 2026 and 2027 Market Outlook

The industry outlook continues to strengthen across all segments. We expect the Wafer Equipment market, which includes Advanced Packaging, to exceed \$140 billion in calendar 2026.

The strength of demand and customer engagement in insuring KLA has the capacity to support numerous new fabs projects currently under construction has led to unprecedented demand visibility from our customers. While normally we would not comment on 2027 growth rates in April of 2026, this demand environment gives us confidence in calendar 2027 visibility for the Wafer Equipment market. Today, we expect the calendar 2027 year-over-year growth rate to be higher than our growth rate expectations for calendar 2026. KLA has strong business momentum, expanding market share, and higher process control intensity at the leading-edge across all segments. Given all of this, we are well-positioned to continue to increase our share of the overall market in calendar 2026 and 2027. The customer engagement that we are experiencing is reflected in our growing systems backlog and sales funnel. We continue to expect quarter-to-quarter revenue growth throughout calendar 2026 and strong business momentum leading into calendar 2027. For calendar 2026, we expect sequential revenue growth for the company to accelerate leading to high teen revenue growth year-over-year and the Semiconductor Process Control systems business growing over 20%.

KLA's product portfolio differentiation and value proposition focus on enabling technology transitions, accelerating process-node capacity ramps, and ensuring yield entitlement in high-volume manufacturing. The market environment and the complexity of our customers' technology roadmaps are compelling, presenting both challenges and opportunities for KLA to maintain its relative outperformance. In this industry environment, we remain focused on supporting customers, investing in the future, executing product roadmaps, and driving productivity across the company.

Outlook for the June 2026 Quarter

KLA's June quarter guidance is for revenue of \$3.575 billion, plus or minus \$200 million. Foundry/Logic revenue from semiconductor customers is forecasted to increase to approximately 82%, and memory is expected to be approximately 18% of Semi Process Control systems revenue to semiconductor customers. In memory, DRAM is expected to account for roughly 84%, with NAND accounting for the

remaining 16%. As always, these business mix approximations pertain solely to our semiconductor customers and do not fully reflect our total semiconductor process control systems revenue.

June 2026 Quarter Guidance

Revenue	\$3.575B +/- \$200M	Macro Assumptions Semi PC Revenue By End Market ¹ - Foundry/Logic: ~82% - Memory: ~18% → DRAM ~84% NAND ~16% Model Assumptions - Non-GAAP Operating Expenses*: ~\$665M - Other Income & Expense (OIE)*, Net: ~\$25M - Effective Tax Rate*: ~14.5% - Diluted Share Count: ~131.4M
Non-GAAP Gross Margin*	61.75% +/- 1%	
GAAP Diluted EPS	\$9.66 +/- \$1.00	
Non-GAAP Diluted EPS*	\$9.87 +/- \$1.00	

* Non-GAAP metric – Refer to Appendix for Reconciliation to GAAP

¹ Represents approximate Semi Process Control system-only sales to Foundry/Logic customers or Memory customers only, which does not represent our aggregate customer base

Strong, resilient and delivering shareholder value

Non-GAAP gross margin for the quarter is forecasted to be 61.75% plus or minus 1 percentage point. Although volume levels are up quarter-to-quarter, product mix is modestly weaker than in the March quarter. As discussed last quarter, the guidance also includes the persistent impact of elevated DRAM chip costs for the company's image-processing computers that ship with our systems, creating a headwind to the company's gross margins. While the memory pricing environment remains challenging in the near-term, we have secured the required supply to meet our build plan requirements. Our view of elevated memory pricing persisting through at least calendar 2026 is unchanged and we continue to see a roughly 100bps negative impact on gross margins over the next several quarters. Considering this impact, the tariff environment, along with product mix and volume expectations, our view of gross margins remains unchanged at approximately 62%, plus or minus 50 basis points, in calendar 2026.

Non-GAAP operating expenses are forecasted to be approximately \$665 million in the June quarter. For calendar 2026, we will continue to prioritize next-generation product development and company infrastructure investments to support expected revenue growth over the next several years, and we anticipate these expenses to grow by roughly \$15 million sequentially throughout the calendar year. Our business model is designed to deliver 40% to 50% incremental non-GAAP operating margin leverage on revenue growth over the long run.

Other model assumptions include: Non-GAAP other income and expense, net, of approximately \$25 million expense for the June quarter, and we expect it to remain at approximately this quarterly level for the calendar year. The non-GAAP planning tax rate is 14.5%. As always, we expect some quarter-to-quarter tax rate variance due to discrete items as we move through the year. For the June quarter, non-GAAP diluted EPS is expected to be \$9.87 plus or minus \$1.00, and GAAP diluted EPS is expected to be \$9.66 plus or minus \$1.00. EPS guidance is based on a fully diluted share count of approximately 131.4 million shares.

In Conclusion

Our near-term revenue guidance reflects consistent growth and profitability. We expect our Semiconductor Process Control systems business to outperform the Wafer Equipment market in calendar 2026, driven by rising process control intensity and growth in Advanced Packaging. KLA continues to focus on delivering a differentiated product portfolio that supports customer technology roadmaps and production efficiency, driving our longer-term relevance and growth expectations. The KLA Operating Model drives our best-in-class execution. Our focus on customer success, innovative solutions, and operational excellence enables industry-leading financial performance and consistent, predictable capital returns.

As we detailed at our March Investor Day, KLA's business is uniquely positioned to capitalize on today's technology inflection points and growth drivers. We are encouraged by strengthening customer confidence and engagement, which informs our business forecast. The long-term secular trends driving semiconductor industry demand and investments in Wafer Equipment are compelling and represent a relative performance opportunity for KLA over the next several years.

KLA's business has gone from being primarily indexed to leading-edge R&D investment and fab capacity ramps, to now addressing all growth phases in Wafer Equipment, enabling leading-edge process development, time to results in fab capacity ramps, and optimizing yield in a high-volume manufacturing environment. In addition, the growing investment in custom silicon, particularly among hyperscalers developing their own custom chips, has led to a proliferation of new higher-value design starts and increased demand on our customers to deliver performance, volume, and time-to-market. As design mix and complexity grows, so does the need for process control. As a result, KLA is seeing consistent growth in process control intensity, as each new chip design requires rigorous inspection, metrology, and yield optimization solutions. KLA is uniquely positioned to benefit from these trends as we expand our market leadership and deliver differentiated value to our customers.

Sincerely,



Rick Wallace, CEO



Bren Higgins, CFO

Appendix

Reconciliation of Non-GAAP Financial Measures

<i>(In millions, except EPS \$ and percentages)</i>		For the three months ended Mar. 31, 2026
GAAP net income		\$ 1,201.0
<i>Adjustments to reconcile GAAP net income to non-GAAP net income*</i>		
Acquisition-related charges	a	47.0
Income tax effect of non-GAAP adjustments	b	(17.7)
Discrete tax items	c	8.3
Non-GAAP net income		\$ 1,238.6
GAAP diluted EPS		\$ 9.12
Non-GAAP diluted EPS		\$ 9.40
Shares used in diluted shares calculation		131.8
GAAP income tax expense		\$ 215.8
<i>Adjustments to reconcile GAAP effective tax rate to non-GAAP effective tax rate*</i>		
Income tax effect of non-GAAP adjustments	b	17.7
Discrete tax items	c	(8.3)
Non-GAAP income tax expense		\$ 225.1
GAAP income before income taxes		\$ 1,416.8
<i>Adjustments to reconcile GAAP income before income taxes to non-GAAP income before income taxes*</i>		
Acquisition-related charges	a	47.0
Non-GAAP income before income taxes		\$ 1,463.7
GAAP income tax rate		15.2%
Non-GAAP income tax rate		15.4%
GAAP other expense (income), net		\$ (9.3)
Non-GAAP other expense (income), net		\$ (9.3)

<i>(Dollars in millions)</i>		For the three months ended Mar. 31, 2026
GAAP gross margin		61.1%
<i>Adjustments to reconcile GAAP gross margin to non-GAAP gross margin*</i>		
Acquisition-related charges	a	1.1%
Non-GAAP gross margin		62.2%
GAAP research and development ("R&D") expenses		\$ 388.8
Non-GAAP R&D expenses		\$ 388.8
GAAP selling, general and administrative ("SG&A") expenses (1)		\$ 291.1
<i>Adjustments to reconcile GAAP SG&A expenses to non-GAAP SG&A expenses*</i>		
Acquisition-related charges	a	(9.9)
Non-GAAP SG&A expenses (1)		\$ 281.3
GAAP operating expense (1)		\$ 679.9
<i>Adjustments to reconcile GAAP operating expense to non-GAAP operating expense*</i>		
Acquisition-related charges	a	(9.9)
Non-GAAP operating expense (1)		\$ 670.0
GAAP operating income (1)		\$ 1,407.5
<i>Adjustments to reconcile GAAP operating income to non-GAAP operating income*</i>		
Acquisition-related charges	a	47.0
Non-GAAP operating income (1)		\$ 1,454.5
GAAP operating margin		41.2%
Non-GAAP operating margin		42.6%

Amounts may not sum due to rounding

* Refer to "Reconciliation of Non-GAAP Measures - Explanation of Non-GAAP Financial Measures" for detailed descriptions and information for each reconciling item.

- (1) Non-GAAP operating income and operating expenses include the effects of the changes in the Company's Executive Deferred Savings Plan Program ("EDSP"), because the changes in the EDSP liability and asset are recorded in selling, general and administrative expense in operating expenses. The benefit associated with changes in the EDSP liability included in selling, general and administrative expense for the quarter ended March 31, 2026 was \$8.8 million. The loss associated with changes in the EDSP assets included in selling, general and administrative expense for the quarter ended March 31, 2026 was \$9.0 million.

Reconciliation of Free Cash Flow and Related Metrics

Free Cash Flow Measures		For the three months ended Mar. 31, 2026	For the twelve months ended Mar. 31, 2026	For the twelve months ended Dec. 31, 2025	For the twelve months ended Dec. 31, 2024	For the twelve months ended Dec. 31, 2023	For the twelve months ended Dec. 31, 2022	For the twelve months ended Dec. 31, 2021	For the twelve months ended Dec. 31, 2020
<i>(Dollars in millions)</i>									
Net cash provided by operating activities		\$ 707.5	\$ 4,401.6	\$ 4,766.3	\$ 3,647.3	\$ 3,476.0	\$ 3,337.9	\$ 2,786.4	\$ 1,968.1
Less Capital expenditures		(85.2)	(387.1)	(384.0)	(285.3)	(308.4)	(351.5)	(250.4)	(200.3)
Free cash flow		\$ 622.3	\$ 4,014.6	\$ 4,382.3	\$ 3,362.1	\$ 3,167.5	\$ 2,986.5	\$ 2,536.0	\$ 1,767.8
Free cash flow		\$ 622.3	\$ 4,014.6	\$ 4,382.3	\$ 3,362.1	\$ 3,167.5	\$ 2,986.5	\$ 2,536.0	\$ 1,767.8
Revenue		\$ 3,415.1	\$ 13,096.7	\$ 12,744.5	\$ 10,847.0	\$ 9,671.4	\$ 10,483.7	\$ 8,165.7	\$ 6,073.0
Free cash flow margin		18.2%	30.7%	34.4%	31.0%	32.8%	28.5%	31.1%	29.1%
Free cash flow		\$ 622.3							
Non-GAAP net income		\$ 1,238.6							
Free cash flow conversion		50.2%							
Net cash provided by operating activities		\$ 707.5							
GAAP net income		\$ 1,201.0							
GAAP metric comparable to free cash flow conversion		58.9%							
		For the three months ended Mar. 31, 2026	For the twelve months ended Mar. 31, 2026						
Cash paid for dividends		\$ 248.8	\$ 1,006.5						
Cash paid for share repurchases		626.0	2,144.5						
Capital returns		\$ 874.8	\$ 3,150.9						

Amounts may not sum due to rounding

The Company presents free cash flow and certain related metrics as supplemental non-GAAP measures of its performance. Free cash flow is determined by adjusting GAAP net cash provided by operating activities for capital expenditures. Free cash flow conversion is defined as free cash flow divided by non-GAAP net income, and free cash flow margin is defined as free cash flow divided by revenue.

Reconciliation of Guidance

Q4 FY2026 Guidance Range:

(Dollars in millions, except per share amounts)			
		Low	High
GAAP diluted net income per share		\$ 8.66	\$ 10.66
Acquisition-related charges	a	0.34	0.34
Income tax effect of non-GAAP adjustments	c	(0.13)	(0.13)
Non-GAAP diluted net income per share		\$ 8.87	\$ 10.87
Shares used in diluted shares calculation		131.4	131.4
GAAP gross margin		59.72%	61.72%
Acquisition-related charges	a	1.03%	1.03%
Non-GAAP gross margin		60.75%	62.75%
GAAP operating expenses		\$ 668	\$ 680
Acquisition-related charges	a	(9)	(9)
Non-GAAP operating expenses		\$ 659	\$ 671
GAAP other expense (income), net		\$ 25	\$ 25
Non-GAAP other expense (income), net		\$ 25	\$ 25
GAAP tax rate		13.8%	13.8%
Effect of acquisition-related charges	a	0.7%	0.7%
Non-GAAP tax rate		14.5%	14.5%

Note: The guidance as of April 29, 2026 represents our best estimate considering the information known as of the date of issuing the guidance. We undertake no responsibility to update the above in light of new information or future events. Refer to forward looking statements for important information. Also refer to "Reconciliation of Non-GAAP Financial Measures - Explanation of Non-GAAP Financial Measures" for detailed descriptions and information about each reconciling item.

CY 2026 Guidance:

(Dollars in millions)		CY 2026	
GAAP operating expenses		\$ 2,746	
Acquisition-related charges	a	(36)	
Non-GAAP operating expenses		\$ 2,710	
GAAP gross margin		Low	High
Acquisition-related charges	a	60.5%	61.5%
Non-GAAP gross margin		61.5%	62.5%
GAAP other expense (income), net		\$ 66	
Non-GAAP other expense (income), net		\$ 66	
GAAP tax rate		14.0%	
Effect of acquisition-related charges	a	0.7%	
Non-GAAP tax rate		14.7%	

Note Regarding Reconciliations of Long-Term Forecasts:

The 2026 target model presented reflects financial targets originally established and disclosed in 2022 and is provided for historical context only. The Company is not updating or reaffirming these targets. The non-GAAP measures include gross margin, R&D as a percent of sales, SG&A as a percent of sales, operating margin, and diluted EPS, and were originally presented on a forward-looking basis. A reconciliation of these forward-looking non-GAAP measures to the most directly comparable GAAP measures is not available without unreasonable effort due to the inherent difficulty in predicting, with a reasonable degree of certainty, the occurrence, financial impact and timing of items that would have been expected to impact GAAP results but would not impact non-GAAP adjusted results, such as acquisition costs, restructuring costs and discrete taxable events, at the time the targets were established. These reconciling items could significantly impact, either individually or in the aggregate, the corresponding GAAP measures.

This presentation includes certain forward-looking non-GAAP financial measures, including gross margin, R&D as a percent of sales, SG&A as a percent of sales, operating margin and diluted EPS, in forecasts for calendar year 2030. The reconciliations for these non-GAAP financial measures to the most directly comparable GAAP measures are not presented because of the inherent difficulty in predicting, with a reasonable degree of certainty, the occurrence, financial impact, and timing of items that would be expected to impact GAAP results but would not impact non-GAAP adjusted results, such as acquisition costs, restructuring costs and discrete taxable events, without unreasonable efforts. These reconciling items could significantly impact, either individually or in the aggregate, the corresponding GAAP measures.

Reconciliation of Non-GAAP Financial Measures

Explanation of Non-GAAP Financial Measures:

To supplement our Condensed Consolidated Financial Statements presented in accordance with GAAP, we provide certain non-GAAP financial information, which is adjusted from results based on GAAP to exclude certain gains, costs and expenses, as well as other supplemental information. The non-GAAP and supplemental information is provided to enhance the user's overall understanding of our operating performance and our prospects in the future. Specifically, we believe that the non-GAAP information, including non-GAAP net income, non-GAAP net income per diluted share, non-GAAP gross margin and free cash flow, provides useful measures to both management and investors regarding financial and business trends relating to our financial performance by excluding certain costs and expenses that we believe are not indicative of our core operating results to help investors compare our operating performances with our results in prior periods as well as with the performance of other companies. The non-GAAP information is among the budgeting and planning tools that management uses for future forecasting. However, because there are no standardized or generally accepted definitions for most non-GAAP financial metrics, definitions of non-GAAP financial metrics are inherently subject to significant discretion (for example, determining which costs and expenses to exclude when calculating such a metric). As a result, non-GAAP financial metrics may be defined very differently from company to company, or even from period to period within the same company, which can potentially limit the usefulness of such information to an investor. The presentation of non-GAAP and supplemental information is not meant to be considered in isolation or as a substitute for results prepared and presented in accordance with United States GAAP.

The following are descriptions of the adjustments made to reconcile GAAP net income to non-GAAP net income:

- Acquisition-related charges primarily include amortization of intangible assets. Although we exclude the effect of amortization of all acquired intangible assets from these non-GAAP financial measures, management believes that it is important for investors to understand that such intangible assets were recorded as part of purchase price accounting arising from acquisitions, and such amortization of intangible assets related to past acquisitions will recur in future periods until such intangible assets have been fully amortized. Investors should note that the use of these intangible assets contributed to our revenues earned during the periods presented and are expected to contribute to our future period revenues as well.
- Income tax effect of non-GAAP adjustments includes the income tax effects of the excluded items noted above.
- Discrete tax items consist of certain income tax expenses/benefits that, by excluding, help investors compare our operating performance with our results in prior periods as well as with the performance of other companies.

About KLA Corporation

KLA Corporation (KLA) is the world's leading supplier of process control and yield management solutions for the semiconductor and related microelectronics industries. The company's comprehensive portfolio of products, software, analysis, services, and expertise is designed to help Integrated Circuit (IC) manufacturers manage yield throughout the entire wafer fabrication process, from Research & Development to final yield analysis. KLA offers a broad spectrum of products and services used by every major semiconductor manufacturer worldwide. We provide advanced process control and process-enabling solutions for manufacturing wafers and reticles, integrated circuits, Packaging, and printed circuit boards. In close collaboration with leading customers across the globe, our expert teams of physicists, engineers, data scientists and problem-solvers design solutions that move the world forward. Additional information may be found at: www.kla.com.

Investors and others should note that KLA announces material financial information on its investor relations website (ir.kla.com), including SEC filings, press releases, public earnings calls, and conference webcasts. These channels are used to communicate with the public about the company, products, services, and other matters.



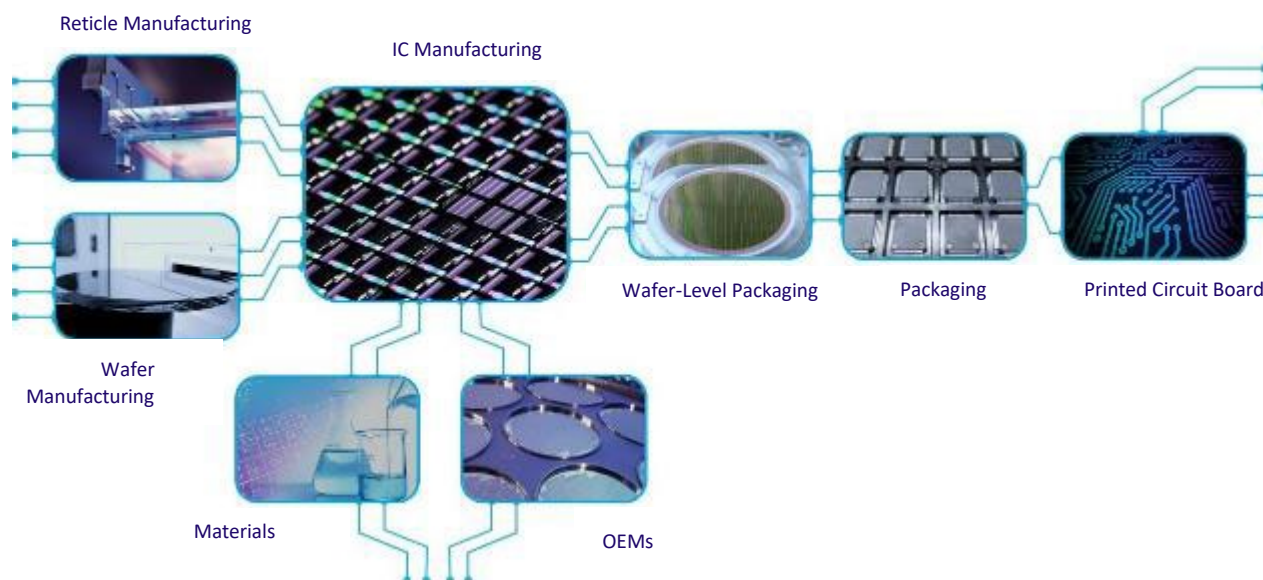
KLA's Broad Portfolio Addresses Entire Semiconductor Ecosystem

Semiconductor Manufacturing

- IC Manufacturing
- Wafer Manufacturing
- Reticle Manufacturing
- IC Packaging
- Printed Circuit Board

Related Electronics Industries

- Compound Semiconductor
- Power Device
- LED
- MEMS
- Data Storage/Media Head
- General Purpose/Labs



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Note on Forward-Looking Statements

Statements in this letter other than historical facts, such as statements pertaining to: (i) future industry demand for semiconductors, Wafer Equipment, and advanced packaging; (ii) our market position for the future and future growth in demand for our products; (iii) our forecast of financial measures for the June quarter, calendar 2026, calendar 2027 and our 2030 Target Model; (iv) our future revenues by customer segment for our Semi Process Control systems; (v) our long-term financial targets and underlying assumptions; (vi) our future investment plan on R&D, technology, manufacturing capacity and infrastructure; (vii) the impact of DRAM pricing escalation due to capacity constraints on our gross margin for the June quarter and calendar 2026; and (viii) future shareholder returns, are forward-looking statements and subject to the Safe Harbor provisions created by the Private Securities Litigation Reform Act of 1995.

These forward-looking statements are based on current information and expectations and involve a number of risks and uncertainties. Actual results may differ materially from those projected in such statements due to various factors, including, but not limited to: our vulnerability to a weakening in the condition of the financial markets and the global economy; risks related to our international operations; evolving Bureau of Industry and Security of the U.S. Department of Commerce rules and regulations and their impact on our ability to sell products to and provide services to certain customers in China; tariffs and other trade restrictions; costly intellectual property disputes that could result in our inability to sell or use the challenged technology; risks related to the legal, regulatory and tax environments in which we conduct our business; differing stakeholder expectations, requirements and attention to environment, social and governance (“ESG”) matters and the resulting costs, risks and impact on our business; unexpected delays, difficulties and expenses in executing against our environmental, climate, or other ESG targets, goals and commitments; our ability to attract, retain and motivate key personnel; our vulnerability to disruptions and delays at our third-party service providers; cybersecurity threats, cyber incidents affecting our and our business partners' systems and networks; our inability to access critical information in a timely manner due to system failures; risks related to acquisitions, integrations, strategic alliances or collaborative arrangements; climate change, earthquake, flood or other natural catastrophic events, public health crises or terrorism and the adverse impact on our business operations; the war between Ukraine and Russia, escalation of hostilities in the Middle East, and the significant military activity in those regions; lack of insurance for losses and interruptions caused by terrorists and acts of war, and our self-insurance of certain risks including earthquake risk; risks related to fluctuations in foreign currency exchange rates; risks related to fluctuations in interest rates and the market values of our portfolio investments; risks related to tax and regulatory compliance audits; any change in taxation rules or practices and our effective tax rate; compliance costs with federal securities laws, rules, regulations, NASDAQ requirements, and evolving accounting standards and practices; ongoing changes in the technology industry, and the semiconductor industry in particular, including future growth rates, pricing trends in end-markets, or changes in customer capital spending patterns; our vulnerability to a highly concentrated customer base; the cyclicity of the industries in which we operate; our ability to timely develop new technologies and products that successfully address changes in the industry; risks related to artificial intelligence; our ability to maintain our technology advantage and protect proprietary rights; our ability to compete in the industry; availability and cost of the materials and parts used in the production of our products; our ability to operate our business in accordance with our business plan; risks related to our debt and leveraged capital structure; we may not be able to declare cash dividends at all or in any particular amount; liability to our customers under indemnification provisions if our products fail to operate properly or contain defects or our customers are sued by third parties due to our products; our government funding for research and development is subject to audit, and potential termination or penalties; we may incur significant restructuring charges or other asset impairment charges or inventory write offs; we are subject to risks related to receivables factoring arrangements and compliance risk of certain settlement agreements with the government; and risks related to the Court of Chancery of the State of Delaware being the sole and exclusive forum for certain actions and proceedings. For other factors that may cause actual results to differ materially from those projected and anticipated in forward-looking statements in this press release, please refer to KLA's Annual Report on Form 10-K for the year ended June 30, 2025, and other subsequent filings with the Securities and Exchange Commission (including, but not limited to, the risk factors described therein). KLA assumes no obligation to, and does not currently intend to, update these forward-looking statements.